

bonds at Drexel Burnham Lambert in the 1970s and 1980s. Market values are far from perfect, but accounting data are purely historical and are often out-of-date at best and irrelevant at worst.

- Importantly, Graham and Dodd highlight the importance of cash flow stability in a company's ability to service its debts in an adverse environment. "Once it is admitted—as it always must be—that the industry can suffer *some* reduction in profits, then the investor is compelled to estimate the possible extent of the shrinkage and compare it with the surplus above the interest requirements. He thus finds himself . . . vitally concerned with the ability of the company to meet the vicissitudes of the future." (Chap. 7) This consideration contributed to the fact that, in its infancy in the mid-1970s, the leveraged buyout industry restricted its purchases to noncyclical companies and avoided high-tech firms. Like all important investment principles, this one is often ignored in bullish periods, as enthusiasm and optimism gain sway and the stable-cash-flow rule can be easily forgotten.

ADDITIONAL THOUGHTS

In considering the relevance 83 years later of the 1940 edition of *Security Analysis*, a number of additional observations deserve to be made.

First, most of the timing that interested Graham and Dodd concerned "depressions" and their impact on creditworthiness. They cite three depressions—1920 to 1922, 1930 to 1933, and 1937 to 1938—whereas we talk today about there having been only one in the twentieth century: the Great Depression. Clearly, Graham and Dodd included under this heading what we call "recessions."

Second, they were not concerned with predicting interest rate fluctuations. The primary reason for this may be that interest rates didn't fluctuate as much in those days. A table in Chap. 6 shows, for example, that in the 13 years from 1926 to 1938—a period that sandwiched a